

years to turn into a 100-bagger. And by May of 2015, you were sitting on gains of 28,300 percent, or a 283-bagger.

So, how did Amazon do it?

Let's start with Jeff Bezos because this is a case where you had one of the great owner-operators at the helm. Bezos is currently 51 years old and owns 18 percent of the company, of which he is both CEO and chairman of the board.

"There are no signs he's leaving, either," Thompson writes. "In a 2014 Business Insider interview, Bezos, perhaps channeling Mr. Buffett, said 'I still run into work.'" He loves what he does.

He started the company when he was 30. He used to work at DE Shaw, an investment-management company. Importantly, he's not a programmer like Bill Gates. As Thompson says, "He's a Wall Street guy in a lot of ways."

"At heart, he understands two things," Thompson writes. "He understands the value of a business is the sum of its future free cash flows, discounted back to the present. And he understands capital allocation and the importance of return on invested capital."

The latter, as we've seen — and will see more of later — is critical to 100-baggerdom. Thompson marshals some good evidence on Bezos's thinking, highlighting the key phrases:

- From Bezos's 1999 shareholder letter: "Each of the previous goals I've outlined contribute to our long-standing objective of building the best, most profitable, *highest return on capital*, long-term franchise."
- From Bezos's first shareholder letter, in 1997: "Market leadership can translate directly to higher revenue, higher profitability, greater capital velocity and correspondingly stronger returns on invested capital. Our decisions have *consistently reflected this focus*."

He has a relentless focus on the long term. "Every year," Thompson adds, "he includes his 1997 shareholder letter at the end of the current year letter. The point he's trying to emphasize: it's all about the long term."

So, we all know Amazon came to dominate online retailing. The